

PATIENCE AND PERFORMANCE

With this in mind, I established what I called my three-year rule. I have repeated again and again to my clients that when I purchase something for them, not to judge the results in a matter of a month or a year, but to allow me a three-year period. If I have not produced worthwhile results for them in that time, they should fire me. Whether I have been successful in the first year or unsuccessful can be as much a matter of luck as anything else. In my management of individual stocks over all these years I have followed the same rule, only once having made an exception. If I have a deep conviction about a stock that has not performed by the end of three years, I will sell it. If this same stock has performed worse rather than better than the market for a year or two, I won't like it. However, assuming that nothing has happened to change my original view of the company, I will continue to hold it for three years.

In the second half of 1955, I bought a substantial number of shares in two companies in which I had never previously invested. They proved to be almost a classic example of the advantages and problems of investing contrary to the currently accepted view of the financial community. Looking back, 1955 could be considered the beginning of a period of almost fifteen years that might be termed the "first Golden Age of electronic stocks." I am using the adjective "first" so that there can be no confusion in anyone's mind with what I believe will be considered the Golden Age for semiconductor stocks, something which I suspect lies ahead of us and will be associated with the 1980's. At any rate, in 1955 and immediately thereafter, the financial community was about to be dazzled by a whole series of electronic companies which were to show gains that by 1969 had reached truly spectacular proportions. IBM, Texas Instruments, Varian, Litton Industries and Ampex are a few that come to mind. However, in 1955, all of that lay ahead. At that time, with the exception of IBM, all these stocks were considered highly speculative and beneath the notice of conservative investors or big institutions. However, sensing part of what might lie ahead, I acquired what for me were rather sizable positions in both Texas Instruments and Motorola during the latter parts of 1955.